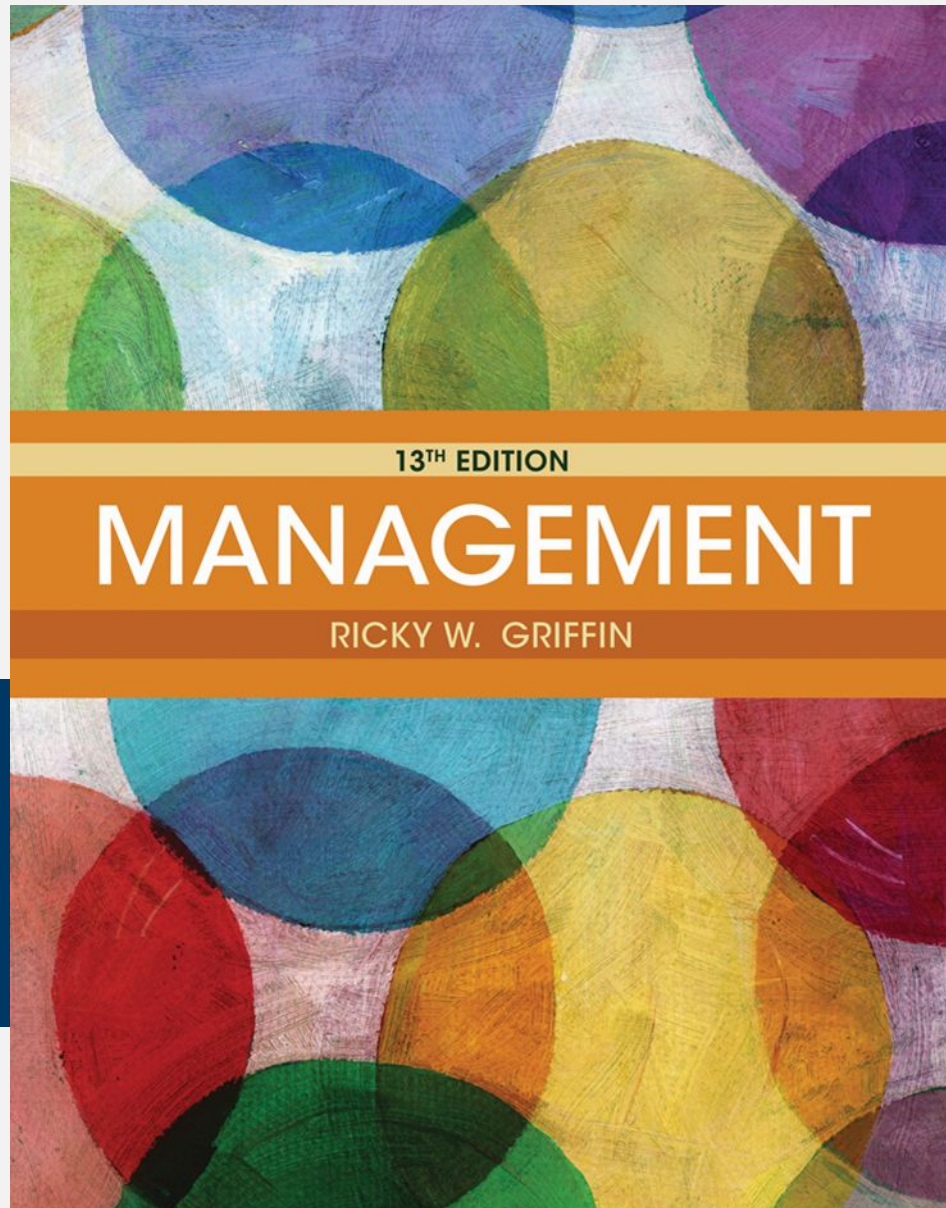




Management

Chapter Eleven: Managing Organization Design

Warm Up

- Do you know anyone who has their own business? How do you think an organization becomes modeled after a specific type of organization design? Do you think it is a conscious effort on the part of leadership or does it happen most often by accident?



Learning Objectives

By the end of this chapter, you should be able to:

11-1: Describe the nature of organization design.

11-2: Explain the two universal perspectives on organization design.

11-3: Describe several situational influences on organization design.

11-4: Discuss how an organization's strategy and its design are interrelated.

11-5: Describe the basic forms of organization design.

11-6: Describe emerging issues in organization design.



11-1 The Nature of Organization Design

- **Organization design:**
 - The overall set of structural elements and the relationships among those elements used to manage the total organization
- **Keep two important points in mind:**
 - Organizations are not designed and left intact.
 - Most change continuously.
 - Organization design for larger organizations is extremely complex.
 - No description is complete.

11-2a The Bureaucratic Model (1 of 2)

Bureaucratic model (Max Weber):

- A bureaucracy is an organization based on a legitimate and formal system of authority.

Weber's ideal bureaucracy's characteristics:

- Distinct division of labor
- Consistent rules and uniform task performance
- A chain of command from top to bottom
- Impersonal managers
- Employment based on technical expertise

11-2a The Bureaucratic Model (2 of 2)

Strengths:

- Several elements often improve efficiency
- Helps prevent favoritism
- Makes procedures and practices clear to everyone

Weaknesses:

- Results in inflexibility and rigidity
- Often difficult to make exceptions or change the rules
- Often results in neglect of human and social processes

11-2b The Behavior Model (1 of 2)

- **The behavioral model:**
 - Stresses attention to developing work groups and concern with interpersonal processes
- **Eight important processes fall along a continuum:**
 - Leadership, motivation, communication, interactions, decision making, goal setting, control, and performance goals
- A **System 1** design anchors one end of the continuum; similar to the bureaucratic model
- A **System 4** design anchors the other end of the continuum, similar to the behavioral model

11-2b The Behavior Model (2 of 2)

Strengths:

- It emphasizes human behavior by stressing the value of an organization's employees.
- This led to a more humanistic approach to designing organizations.

Weaknesses:

- The approach again argues there is one best way to design an organization—as a System 4.
- Evidence is strong that there is no one best approach.

Table 11.1 System 1 and System 4 Organizations

Table 11.1	System 1 and System 4 Organizations
System 1 Organization	System 4 Organization
1. Leadership process includes no perceived confidence and trust. Subordinates do not feel free to discuss job problems with their superiors, who in turn do not solicit their ideas and opinions. 2. Motivational process taps only physical, security, and economic motives through the use of fear and sanctions. Unfavorable attitudes toward the organization prevail among employees. 3. Communication process is such that information flows downward and tends to be distorted, inaccurate, and viewed with suspicion by subordinates. 4. Interaction process is closed and restricted. Subordinates have little effect on departmental goals, methods, and activities. 5. Decision process occurs only at the top of the organization; it is relatively centralized. 6. Goal-setting process is located at the top of the organization; discourages group participation. 7. Control process is centralized and emphasizes fixing of blame for mistakes. 8. Performance goals are low and passively sought by managers who make no commitment to developing the human resources of the organization.	1. Leadership process includes perceived confidence and trust between superiors and subordinates in all matters. Subordinates feel free to discuss job problems with their superiors, who in turn solicit their ideas and opinions. 2. Motivational process taps a full range of motives through participatory methods. Attitudes are favorable toward the organization and its goals. 3. Communication process is such that information flows freely throughout the organization—upward, downward, and laterally. The information is accurate and undistorted. 4. Interaction process is open and extensive. Both superiors and subordinates can affect departmental goals, methods, and activities. 5. Decision process occurs at all levels through group processes; it is relatively decentralized. 6. Goal-setting process encourages group participation in setting high, realistic objectives. 7. Control process is dispersed throughout the organization and emphasizes self-control and problem solving. 8. Performance goals are high and actively sought by superiors who recognize the necessity for making a full commitment to developing, through training, the human resources of the organization.

The behavioral model identifies two extreme types of organization design called System 1 and System 4. The two designs vary in eight fundamental processes. The System 1 design is considered to be somewhat rigid and inflexible.

Source: Adapted from Rensis Likert, *The Human Organization*. 1967 The McGraw-Hill Companies, Inc.

Knowledge Check 1

- Which of the following is likely to be found in a System 4 organization?
 - A. Downward flow of information
 - B. Centralized decision making
 - C. Low performance goals
 - D. Open interaction

QUESTION



Knowledge Check 1: Answer

- Which of the following is likely to be found in a System 4 organization?

D. Open interaction

System 4 anchors the behavior model, and it stresses attention to developing work groups and concern with interpersonal processes.

ANSWER



11-3 Situational Influences on Organization Design

- Situational view of organization design:
 - Assumes the optimal design depends on a set of relevant situational factors
- **Four basic factors include:**
 1. Technology
 2. Environment
 3. Size
 4. Organization life cycle

11-3a Core Technology (1 of 2)

- **Technology:** The conversion processes used to transform inputs into outputs
 - Multiple technologies may be used, but the most important one is called the **core technology**.
- **Unit or small-batch:** Products are custom-made to customer specification. Includes tailor, print shop, in-house software
- **Large-batch or mass-production:** Produces assembly-line fashion. Includes appliances, automobiles
- **Continuous-process:** Raw material transformed to finished goods by series of machine or process transformations. Includes oil and gas, chemicals

11-3a Core Technology (2 of 2)

- **Woodward's findings:**
 - Different organization designs associate with each technology
 - With increased complexity comes:
 - Increased levels of management, executive span of management and relative size of staff
- **At a general level:**
 - Extreme technologies similar to System 4 and middle range like System 1
 - The middle range had more specialization
 - Success depended on how the organization followed the typical pattern

11-3b Environment

- **Mechanistic organization:**
 - Similar to the bureaucratic or System 1 model, most often found in stable environments
- **Organic organization**
 - Very flexible and informal model of organization design, most often found in unstable and unpredictable environments
- **Differentiation:**
 - The extent to which the organization is broken down into subunits
- **Integration:**
 - The degree to which the various subunits must work together in a coordinated fashion

11-3c Organizational Size

- **Organizational size:**
 - The total number of full-time or full-time-equivalent employees
- Researchers from the University of Aston used a wider array of organizations than Woodward.
 - Technology influences structure in small firms, but the link breaks down in larger firms.
 - Larger firms have more job specialization, standard operating procedures, rules and regulations, and a greater degree of decentralization.

11-3d Organizational Life Cycle

- **Organizational life cycle:**
 - A four-phase process through which organizations evolve
- **Stages include:**
 - **Birth**—the start of the business
 - **Youth**—growth
 - **Midlife**—gradual growth into stability
 - **Maturity**—stability into possible decline
- Structure must evolve to cope with challenges in each stage of the process

Discussion Question #1

- During the recent COVID-19 pandemic, virtually every organization, large and small, has had to change the way it does business. Do you think **mechanistic** organizations have had an easier time adapting to changes precipitated by COVID-19, or do you think **organic** organizations have been in a better position to adapt? Why? What might mechanistic organizations do well that organic organizations could not? What might organic organizations do well that mechanistic organization could not?



11-4a Corporate-Level Strategy

- **Corporate-level strategy:**
 - Choices will partially determine design
- **A single-product strategy:**
 - Functional departmentalization and mechanistic design
- **Related diversification:**
 - Requires a high level of coordination
- **Unrelated diversification:**
 - Hierarchical reporting system

11-4b Business-Level Strategy

- **Business-level strategy:**
 - Directly influences organization design
 - **A defender strategy:** Tall and centralized
 - **A prospector strategy:** Flat and decentralized
 - **An analyzer strategy:** Lies in the middle
- **Organizational functions:**
 - Less obvious and usually covered under corporate or business-level concerns
 - Involves marketing, finance, production, HR, and so on

Discussion Question #2

- Which strategy do you think is most likely used at your university?
 - A. A defender strategy
 - B. A prospector strategy
 - C. An analyzer strategy



11-5a Functional (U-Form) Design

- **Functional (U-form) design:**
 - Based on the functional approach to departmentalization (*U* for unitary)
- Units are grouped into functional departments
 - Considerable coordination is needed
 - Shares same advantages/disadvantages as functional departmentalization
 - Staffed by experts, facilitates coordination, but promotes a functional focus and centralization

Figure 11.1 Functional or U-Form Design for a Small Manufacturing Company

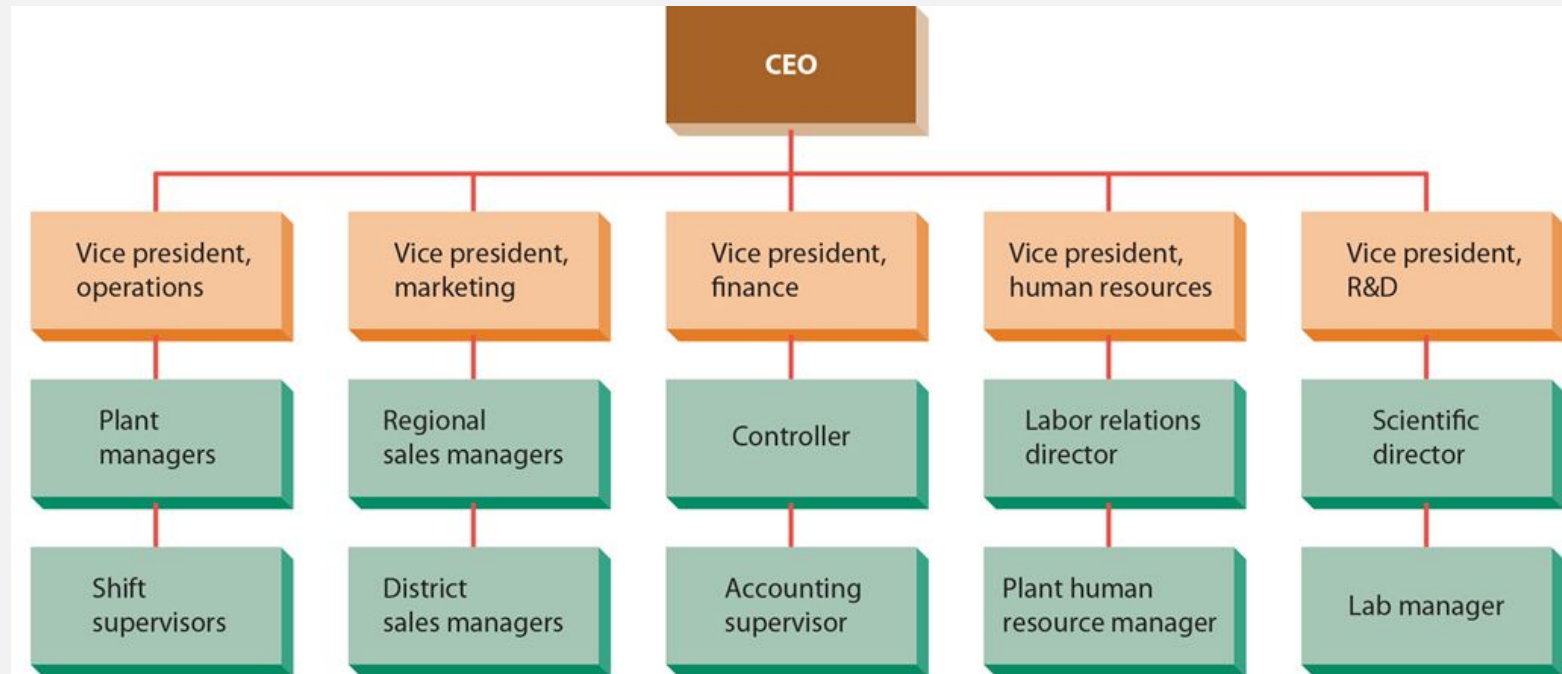


FIGURE 11.1

Functional or U-Form Design for a Small Manufacturing Company

The U-form design is based on functional departmentalization. This small manufacturing firm uses managers at the vice-presidential level to coordinate activities within each functional area of the organization. Note that each functional area is dependent on the others.

11-5b Conglomerate (H-Form) Design

- **Conglomerate (H-Form) design:**
 - Used by an organization made up of a set of unrelated businesses
 - Essentially a holding company results from unrelated diversification (*H* for holding)
 - A general manager oversees each business
 - Responsible for profit/loss, acts independently
 - Corporate staff evaluate, allocate, and decide
- **Basic shortcoming is complexity**

Figure 11.2 Conglomerate (H-Form) Design at Samsung

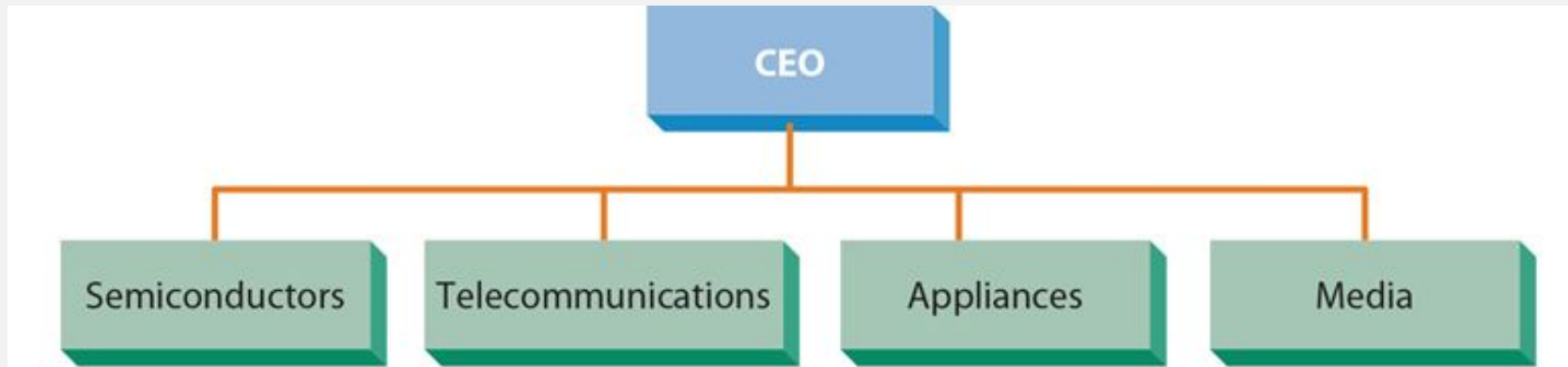


FIGURE 11.2

Conglomerate (H-Form) Design at Samsung

Samsung Electronics Company, a South Korean firm, uses the conglomerate form of organization design. This design, which results from a strategy of unrelated diversification, is a complex one to manage. Managers find that comparing and integrating activities among the dissimilar operations are difficult. Companies may abandon this design for another approach, such as the M-form design.

11-5c Divisional (M-Form) Design

- **Divisional (M-form) design:**
 - Multiple businesses in related areas operating within a larger organizational framework
 - *M* for multidivisional
 - Some activities are decentralized; some are centralized at the corporate level
 - The biggest advantage is the opportunity for coordination and shared resources
 - If kept in balance, outperforms U- or H-forms

Figure 11.3 Multidivisional (M-Form) Design at Hilton Hotels

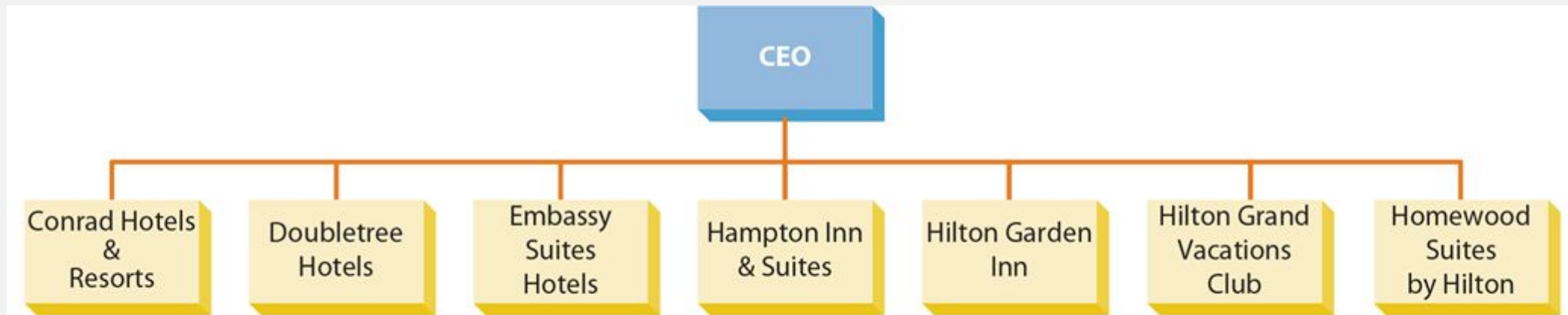


FIGURE 11.3

Multidivisional (M-Form) Design at Hilton Hotels

Hilton Hotels uses the multidivisional approach to organization design. Although each unit operates with relative autonomy, all units function in the same general market. This design resulted from a strategy of related diversification. Other firms that use M-form designs include PepsiCo and the Walt Disney Company.

11-5d Matrix Design (1 of 2)

- **Matrix design:**
 - Based on two overlapping bases of departmentalization
 - Project managers head a project group composed of representatives from functional departments.
 - A multiple-command structure results when an individual reports to a functional superior and to one or more project managers.
- **The matrix form is common in one of three situations:**
 - When there is strong pressure from the environment
 - When large amounts of information need processing
 - When there is pressure for shared resources

11-5d Matrix Design (2 of 2)

- **Advantages:**

- Enhances flexibility
- Team members are motivated and committed
- Employees learn new skills
- Efficient use of human resources
- Enhances cooperation
- Allows decentralization

- **Disadvantages:**

- Uncertain reporting relationships
- Some take advantage of unlimited freedom
- Group dynamics include:
 - Increased decision time
 - Individual domination
 - May compromise too much
 - May lose focus
 - Coordination time increases

Figure 11.4 A Matrix Organization

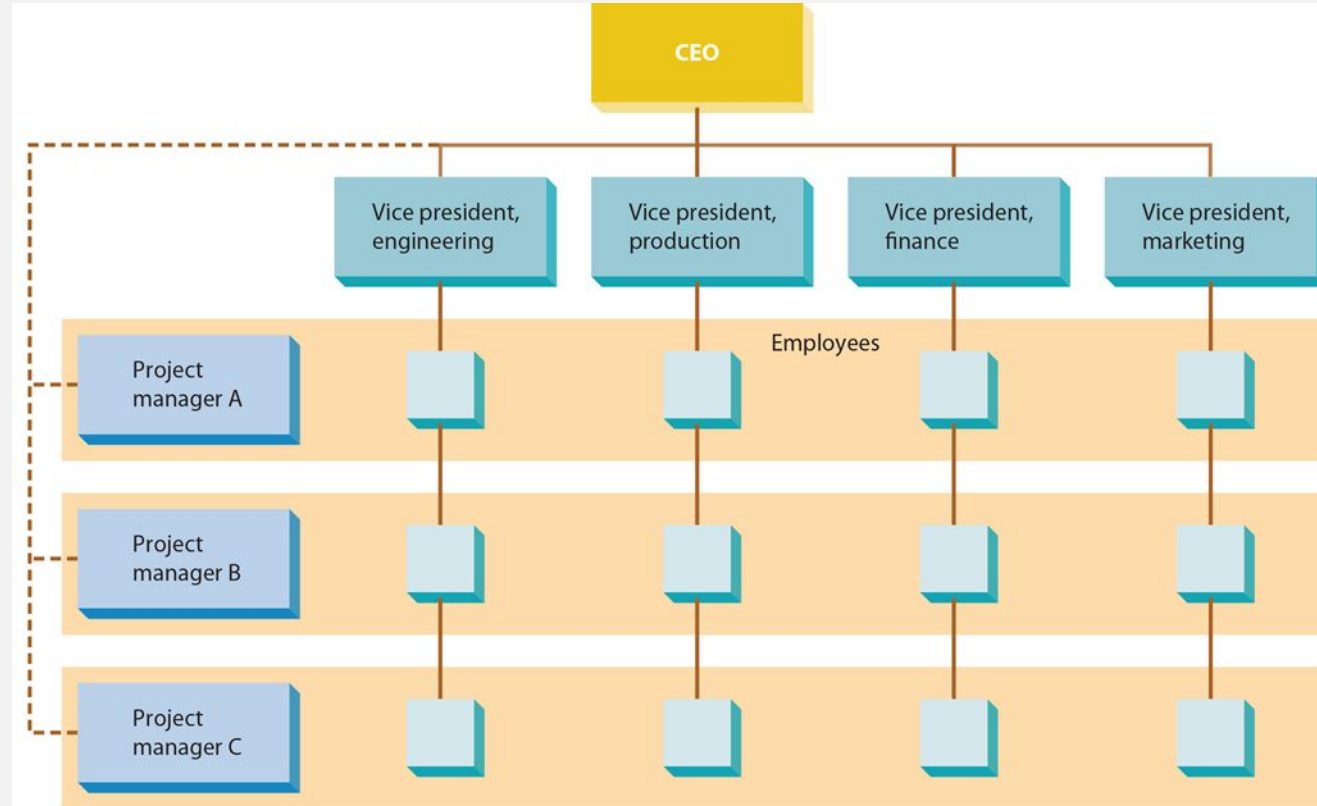


FIGURE 11.4

A Matrix Organization

A matrix organization design is created by superimposing a product form of departmentalization on an existing functional organization. Project managers coordinate teams of employees drawn from different functional departments. Thus, a matrix relies on a multiple-command structure.

11-5e Hybrid Designs

- **Hybrid designs:**
 - A hybrid design occurs when two or more of the common forms of design are combined.
 - Few companies use a design in its pure form.
 - Most firms have one basic design as a foundation but maintain flexibility needed to facilitate modifications.

Discussion Question #3

- Many of your classes likely included some type of group work or group project. During that project, which type of “organizational design” was being used? Did the advantages and disadvantages of that particular design occur within your group? Why or why not? Can the disadvantages be discouraged or eliminated? How?



11-6 Emerging Issues in Organization Design

- **Team organization:**
 - Relies on project-type teams, with little or no underlying functional hierarchy
- **Virtual organization:**
 - One with little or no formal structure
 - Facilities and services often subcontracted, uses temporary workers
 - As the situation changes, the workforce changes in parallel
- **Learning organization:**
 - Facilitates lifelong learning and personal development of all employees while continually transforming itself to respond to changing demands and needs

11-6d Special Issues in International Organization Design

- **Issues in international organization design:**
 - It is important that a firm's organization design allows it to deal effectively in global markets.
 - Managers can reap important advantages when they approach design from a strategic perspective.

Figure 11.5 Common Organization designs for International Organizations

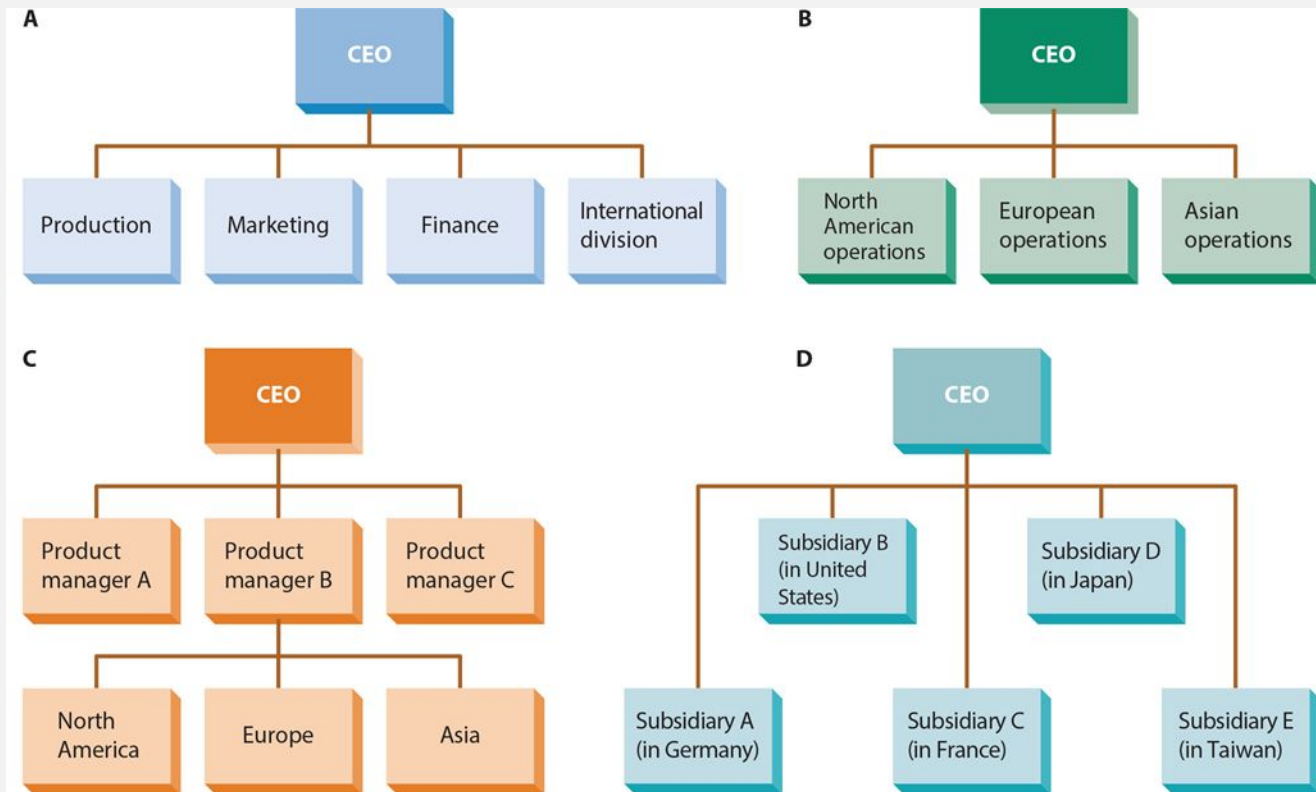


FIGURE 11.5

Common Organization Designs for International Organizations

Companies that compete in international markets must create an organization design that fits their own unique circumstances. These four general designs are representative of what many international organizations use. Each is derived from one of the basic forms of organization design.

Summary

Now that the lesson has ended, you will have learned how to:

- Describe the nature of organization design.
- Explain the two universal perspectives on organization design.
- Describe several situational influences on organization design.
- Discuss how an organization's strategy and its design are interrelated.
- Describe the basic forms of organization design.
- Describe emerging issues in organization design.

